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What's News

Business & Finance

◆ **Honda and Nissan** said they planned to merge in 2026, a move Honda's CEO said wasn't a rescue of Nissan but a recognition that developing new technologies was too hard to do alone. **A1**

◆ **U.S. stocks rose**, with the S&P 500, Nasdaq and Dow industrials advancing 0.7%, 1% and 0.2%, respectively. **B8**

◆ **Confidence among** American consumers dropped unexpectedly this month, with expectations growing bleaker for the economic situation in the new year. **A2**

◆ **Nordstrom's founding** family clinched a \$4 billion deal to take the struggling department-store chain private in a transaction expected to be completed in the first half of 2025. **B1**

◆ **Xerox struck a deal** to acquire Lexmark that values the maker of printers and printing software at \$1.5 billion, including debt. **B1**

◆ **The Container Store** filed for bankruptcy as it contends with losses and rising debt levels that have shaken investor confidence and led to its imminent delisting. **B3**

◆ **BNP Paribas** said its BNP Paribas Cardif insurance business and AXA signed a deal for the purchase of AXA Investment Managers for the equivalent of about \$5.32 billion. **B8**

◆ **The CFPB** said it sued Walmart and payment platform Branch Messenger for practices concerning delivery drivers' pay and reimbursement. **B3**

World-Wide

◆ **The House Ethics Committee** released an explosive report detailing its investigation of sexual-misconduct allegations against former Rep. Matt Gaetz, a Florida republican. **A1**

◆ **Biden, citing moral** and policy objections to capital punishment, said he was commuting the death sentences of 37 inmates, a move that prevents Trump from executing most men on federal death row. **A1**

◆ **The Biden administration** said Pakistan is developing a long-range ballistic missile that could eventually provide nuclear-armed Islamabad with a weapon capable of striking the U.S. **A6**

◆ **President Emmanuel** Macron's office announced a new French government led by François Bayrou as prime minister after the previous government collapsed on a vote of no-confidence. **A18**

◆ **Luigi Mangione** pleaded not guilty to state murder charges in the shooting death of UnitedHealth executive Brian Thompson outside a New York City hotel on Dec. 4. **A3**

◆ **A former U.S. Marine** detained in Australia and accused of training Chinese military pilots will be extradited to the U.S., Australia's attorney general said. **A8**

◆ **Kilauea, on Hawaii's** Big Island, erupted in an event confined to the volcano's caldera after sensors detected increased earthquake activity in the area. **A2**

NOTICE TO READERS

WSJ.com and WSJ mobile apps will publish on Christmas Day. The Wall Street Journal print edition won't be published on Wednesday.

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Big Man Is Still Taking Requests as Big Day Nears



THOMAS SLESSER/THE TRIBUNE-DEMOCRAT/ASSOCIATED PRESS

PSST: Zane Castello, 6 years old, whispered his wish to Santa Claus in Johnstown, Pa., on Monday, as holiday celebrations began kicking off around the world. Christmas Day and the first night of Hanukkah both fall on Wednesday. **A18**

Gaetz Paid for Sex With Girl, 17, Used Drugs, Ethics Report Finds

By KATY STECH FEREC

WASHINGTON—The House Ethics Committee released an explosive report detailing its investigation of sexual-misconduct allegations against former Rep. Matt Gaetz, a Florida Republican who abruptly resigned from Congress in November while under consideration for attorney general in the coming Trump administration.

The 37-page report, released on Monday, said Gaetz regularly paid for sex, including

with a 17-year-old girl, from at least 2017, when he began serving in the House, until 2020. It found he accepted impermissible gifts, including lodging and transportation in 2018 during a trip to the Bahamas. Investigators also concluded that Gaetz “used or possessed” cocaine and ecstasy between 2017 and 2019.

The payments amounted to tens of thousands of dollars for sex and drugs, the report said. Lawyers for Gaetz didn’t respond to a request for com-

ment.

The Ethics Committee, made up of five lawmakers from each party, took the rare step of agreeing to release the report despite Gaetz’s departure from the chamber. Committee investigations typically end once a member leaves.

Committee officials acknowledged that it was uncommon to release a report on a former member, but said there are past examples involving cases related to the public’s interest in which the

panel released its findings anyway.

“The Committee does not do so lightly,” the report said, adding: “Representative Gaetz has acted in a manner that reflects discreditably upon the House.”

Ahead of the committee making the report public, Gaetz on Monday asked a federal judge to block its release.

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◆ **Spending revolt is ominous for GOP**..... **A4**

Biden Commutes 37 Death Sentences

By JESS BRAVIN

WASHINGTON—President Biden, citing moral and policy objections to capital punishment, said he was commuting the death sentences of 37 inmates on Monday, a move that prevents President-elect Donald Trump from executing most men on federal death row.

“Make no mistake: I condemn these murderers, grieve for the victims of their despicable acts, and ache for all the families who have suffered unimaginable and irreparable loss,” Biden said.

But, citing his early experience as a public defender as well as decades in federal office, “I am more convinced than ever that we must stop the use of the death penalty at the federal level,” the president said. “In good conscience, I cannot stand back and let a new administration resume executions that I halted.”

The 37 men, all convicted of murder, will serve life imprisonment without parole.

Biden left death sentences in place for three inmates found guilty of terrorism or hate-motivated mass killings: Dzhokhar Tsarnaev, who with his now-dead brother bombed the 2013 Boston Marathon, killing three and wounding more than 250 others; Robert Bowers, who killed 11 people in the 2018 attack on the Tree of Life synagogue in Pittsburgh; and Dylann Roof, who in 2015 killed nine at the Emanuel African Methodist Episcopal Church in Charleston, S.C.

Also excluded are four servicemen convicted of murder and held on the military death row. *Please turn to page A4*

Schools Misled By Safety Claims

Millions spent on window-film security

By SARA RANDAZZO AND ZUSHA ELINSON

Ryan Wilcox peered through his binoculars as a gunman fired at a large piece of glass propped up at a shooting range in the foothills of Utah’s Wasatch mountains.

Wilcox, a Republican state lawmaker charged with securing Utah’s schools, was eager to see if a polyester-based film, thinner than a credit card and applied to

glass windows and doors, might answer a desperate nationwide query: How can schools stop attackers from shooting their way in?

Window-film dealers who sell to school districts claim their product is the answer.

Wilcox and other high-ranking state officials watched the bullet strike the film-coated glass. “It just went right through,” he said. “It failed right in front of the whole group.”

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A Christmas Tradition Gets the Boot

Parents try to ban the surveilling elf, but kids smell a rat

By JENNIFER CALFAS

When Hope Haley’s 7-year-old daughter asked why the “The Elf on the Shelf” didn’t visit their Las Vegas home, she was ready.

Haley told her that families have to apply to get an elf from Santa—and he’s pretty busy right now.

“They can smell a lie really quick if I hesitate,” Haley, 37, said about her children. “Telling my daughter I find them to be creepy—not cute—would not work with her.”

The stuffed elves have become a holiday fixture for many families. *Please turn to page A9*

INSIDE



PERSONAL JOURNAL
Tips for using AirTags to keep track of your checked bags this holiday season. **A11**

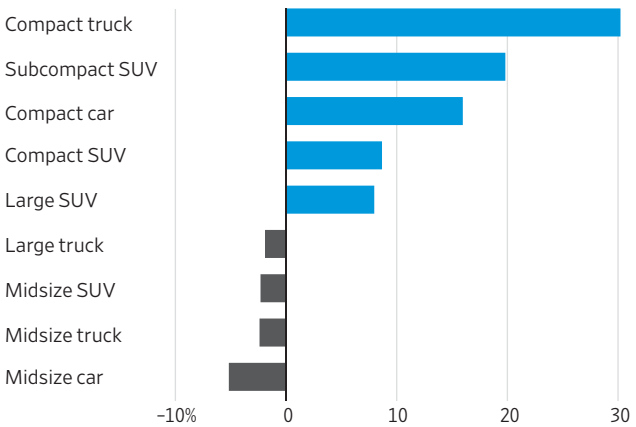


BUSINESS & FINANCE
NFL broadcasts on Christmas Day present a major live-event test for Netflix. **B1**

Car Buyers Are Downsizing

Sales of smaller cars and compact SUVs have been on the rise this year in the U.S., with more shoppers giving priority to affordability and deciding that bigger isn’t always better.

2024 sales volume, change from a year earlier



Note: Change in the number of vehicles sold from January through November of each year. Sales of large cars, which aren't shown, declined 47%. Source: Edmunds

Xi Sticks to His Guns As Economy Teeters

By LINGLING WEI

Some are calling it a “Lost Decade.”

More than 10 years into the Xi Jinping era, it has become clear that much of China’s growth under his watch was driven by unsustainable borrowing, real-estate speculation and investments in factories and infrastructure the country didn’t really need. Difficult overhauls that could have unlocked more-durable growth, such as steps to lift consumer spending, were neglected in favor of policies designed to bolster Communist Party control.

Now, China is drowning in debt, reeling from a property bust that wiped out trillions of dollars of household wealth, and verging on a deflationary spiral. Growth has slowed, Western investment has collapsed and consumer confidence is near a record low.

Honda, Nissan To Unite As No. 3 Carmaker

In vehicles sold, only Toyota, VW would top the combination; ‘this is not a rescue’

By PETER LANDERS

TOKYO—Honda and Nissan said they plan to merge in 2026, a move Honda’s chief executive said isn’t a rescue of troubled Nissan but a recognition that developing new technologies is too hard to do alone.

The companies said they intend to create an automaker that, combined with Nissan partner Mitsubishi Motors, would be the third-largest in the world, after Toyota and Volkswagen, with more than eight million vehicles sold annually.

The announcement came at the end of a year in which Nissan’s profit has tumbled in part because of a dated model lineup in the U.S. Both companies have cratered in China, where electric vehicles and plug-in hybrids are growing quickly. Last year, China surpassed Japan as the world’s leading auto exporter by number of vehicles.

With the car industry moving toward autonomous vehicles driven by artificial intelligence, the companies said they need to combine research and cut costs to survive.

Still, completing the merger successfully will be a challenge. Honda and Nissan share similar model lineups and a focus on the U.S. market, so they face a choice of either eliminating one brand’s models or leaving duplicated product and marketing teams in place.

The power balance is tilted. *Please turn to page A2*